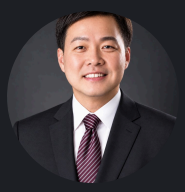
JASON CHOI
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FREE GUIDE

BUSINESS VALUATION GUIDE

# The Multiplier — Explained Simply

A plain-language guide for buyers and sellers of small and mid-size businesses in Alberta and British Columbia.




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## 1. The Big Idea — What Is a Multiplier?

When someone buys or sells a business, one of the first questions is: how much is it worth? A house is compared to similar houses nearby. A business is valued mainly on how much money it makes. The **multiplier** (also called a "multiple") is the number used to turn yearly earnings into a purchase price.

**Business Value = Earnings × Multiplier**

The multiplier tells you how many years of earnings a buyer is willing to pay up front.

> **Think of it like this**
> A coffee shop earns $100,000 a year for its owner. If the multiplier for that type of business is 2.5×, the business is worth about $250,000. The buyer is paying 2.5 years of future earnings today, betting the business keeps performing after they take over.

The multiplier is not set by the government or a bank. It depends on market conditions, the type of business, its risk, how easy it is to transfer, and how attractive it is to buyers. It moves up and down, just like real estate prices.

## 2. Which Earnings Do We Multiply?

### 2.1 SDE — Seller's Discretionary Earnings

This is the most common method for small businesses (under about $1–2 million in yearly sales). SDE answers one question: how much total benefit did one full-time owner receive from the business last year?

| How SDE Is Calculated (example) | Amount |
|---|---|
| Business net profit (from tax return) | $80,000 |
| + Owner's salary / draws (added back) | $60,000 |
| + Owner's personal expenses paid by the business (added back) | $12,000 |
| + Depreciation and amortization (non-cash, added back) | $8,000 |
| + Interest expense (added back) | $4,000 |
| + One-time, non-recurring expenses (added back) | $5,000 |
| **Seller's Discretionary Earnings (SDE)** | **$169,000** |

SDE is the total reward to one working owner. It is used when the new buyer will work in the business day to day. SDE multiples for retail businesses in Canada typically range from **1.5× to 3.5×**.

### 2.2 EBITDA — Earnings Before Interest, Taxes, Depreciation & Amortization

EBITDA is used for larger businesses where a manager runs the operation and the owner does not work there full time. It shows how profitable the business is on its own, no matter who owns it or how it is financed.

**EBITDA = Net Profit + Interest + Taxes + Depreciation + Amortization**

EBITDA multiples for retail businesses in Canada typically range from **2× to 5×**, and higher for strong brands, multi-location operators or businesses with recurring revenue. Larger investors and private equity buyers usually use EBITDA.

### 2.3 Revenue Multiple

Some businesses are valued on yearly sales instead of earnings. This is used when a business has a strong brand or loyal customers but is not yet very profitable. It is also a quick "sanity check" beside SDE or EBITDA.

**Business Value = Annual Sales × Revenue Multiple**

Retail revenue multiples typically range from 0.2× to 0.6× of yearly sales.

**⚠ Be careful with revenue multiples**

A business with $1,000,000 in sales but only $20,000 in profit is not worth $400,000 just because a 0.4× revenue multiple suggests it. Always cross-check with SDE or EBITDA. Sales without profit have limited value.

## 3. Typical Multiplier Ranges by Business Type

The ranges below reflect typical Canadian small-to-medium business sales. They are a general guide only. The real multiple depends on the specific business, its financial records, location and market conditions at the time of sale.

| Business Type | SDE Multiple | Why |
|---|---|---|
| Coffee shop / café (franchise) | 2.0× – 3.0× | Steady traffic and proven concept, but owner-dependent |

| | | |
|---|---|---|
| Coffee shop / café (independent) | 1.5× – 2.5× | Owner-dependent, harder to transfer, lease risk |
| Franchise retail (national brand) | 2.5× – 4.0× | Brand recognition, support systems, lower risk |
| Clothing / apparel boutique | 1.5× – 2.5× | Trend-sensitive, inventory risk |
| Grocery / convenience store | 2.0× – 3.5× | Essential goods, steady traffic, thin margins |
| Liquor store (Alberta, private) | 3.0× – 5.0× | Licensed and regulated, high barriers to entry |
| Cannabis retail (licensed) | 2.0× – 4.0× | Regulated, growing market, regulatory risk |
| Pet supply / grooming | 2.5× – 3.5× | Resilient category, repeat spending |
| Hardware / building supply | 2.0× – 3.0× | Seasonal, big-box competition |
| Pharmacy (independent) | 3.0× – 5.0× | Dispensary revenue, patient base, regulated |
| Florist | 1.5× – 2.0× | Very seasonal, perishable inventory |
| Gym / fitness | 2.0× – 3.5× | Recurring memberships, lease-heavy |
| Electronics / tech retail | 1.5× – 2.5× | Competitive, fast product turnover |
| Furniture / home décor | 1.5× – 2.5× | Discretionary spending, inventory-heavy |
| Specialty food / health store | 2.0× – 3.0× | Growing but niche and trend-sensitive |

> A business at the **top** of a range has strong earnings, stable systems, a transferable lease, repeat customers and little dependence on the owner. A business at the **bottom** has the opposite.

## 4. What Raises or Lowers the Multiplier?

Each factor below makes a buyer more confident (they pay more) or more cautious (they offer less). For a seller, this list shows exactly where to work before selling.

| ⬆ Raises the Multiplier | ⬇ Lowers the Multiplier |
|---|---|
| Steady or growing earnings for 3+ years | Falling sales or profit |
| Long, transferable lease with renewal options | Lease ending soon with no renewal option |
| Several sources of revenue (in-store, online, wholesale) | Depends on one sales channel |
| Staff can run the business without the owner | Cannot operate without the owner |
| Written systems and staff training manuals | Knowledge is only in the owner’s head |
| Loyal repeat customers with records | One-time walk-in traffic, no customer data |

| | |
|---|---|
| Strong franchise brand and support | No brand recognition |
| Little competition nearby | Heavy competition or online disruption |
| Good online reviews and Google ranking | Weak online presence, poor reviews |
| Busy plaza with anchor tenants | Isolated or declining location |
| Current, accurate inventory | Old or over-valued inventory |
| Clean, accountant-prepared financial statements | Cash-heavy, unclear records |
| Supplier agreements transfer at current pricing | Supplier deals tied to the owner personally |
| Little equipment spending needed soon | Major replacement or renovation needed |

## 5. Worked Example

> **The business: "Sunrise Home Goods" (fictional)**
> A home décor store in a Calgary neighbourhood plaza. The owner has run it for 8 years, works there full time and wants to retire. Lease: 3 years left plus one 5-year renewal option. Two trained part-time staff. Steady sales, good Google reviews and clean accountant-prepared books.

### Step 1 — Calculate SDE

| Sunrise Home Goods — SDE | Amount |
|---|---|
| Yearly sales | $420,000 |
| Cost of goods sold | – $210,000 |
| Gross profit | $210,000 |
| Operating expenses (rent, utilities, marketing, etc.) | – $78,000 |
| Net profit before owner pay and adjustments | $132,000 |
| + Owner's salary (added back) | $65,000 |
| + Owner's personal vehicle expense (added back) | $6,000 |
| + One-time renovation (added back) | $8,000 |
| + Depreciation (added back) | $5,000 |
| **Seller's Discretionary Earnings (SDE)** | **$216,000** |

### Step 2 — Choose the Multiplier

Home décor retail typically sells for 1.5× to 2.5× SDE. Strengths: 8 years of history, clean books, good location and reviews. Weaknesses: owner-operated, no online sales, and discretionary spending. A reasonable multiple is in the mid-to-upper range: **about 2.2× to 2.5× SDE**.

### Step 3 — Value Range

| Calculation | Amount |
|---|---|
| $216,000 SDE × 2.2 | $475,200 |
| $216,000 SDE × 2.5 | $540,000 |
| **Value of business operations** | **$475,000 – $540,000** |

### Step 4 — Add Inventory and Equipment

The multiple covers the business operations: goodwill, customers, brand and cash flow. Physical assets are usually valued separately and added on.

| Asking Price Components | Amount |
|---|---|
| Business operations (SDE × multiple) | $475,000 – $540,000 |
| Inventory at cost (verified by count) | + $35,000 |
| Fixtures, equipment and leasehold improvements | + $18,000 |
| Non-compete agreement (if any) | + $5,000 |
| **Indicative asking price range** | **$533,000 – $598,000** |

## 6. Common Mistakes

### Sellers

- **Pricing on sales, not earnings.** A business with $1 million in sales and $30,000 profit is not worth $600,000.
- **Adding back personal expenses without proof.** Buyers and their accountants will check every add-back. Undocumented items get ignored.
- **Using one great year.** Buyers average the last 2–3 years. One unusual year raises questions.
- **Not preparing 12–24 months ahead.** Lease renewal, staff, written systems and clean books take time, and they raise the multiple.
- **Pricing inventory at retail.** Inventory is valued at cost, not at the selling price.
- **Mixing up business and property value.** If you rent your space, the landlord owns the building. The business and the property are valued separately.

### Buyers

- **Accepting the seller's numbers without checking.** Have your accountant rebuild the numbers from bank statements, GST filings, POS reports and supplier invoices.
- **Ignoring the lease.** A lease with 18 months left and no renewal option can make a good business hard to resell. Read the full lease first.
- **Forgetting working capital.** You still need cash for inventory, marketing, staff and 3–6 months of expenses.
- **Paying for potential.** Pay a fair multiple on actual results, not on what the business "could" do.
- **Overlooking GST.** A business purchase may qualify for a GST Section 167 election, or GST may apply to assets. Confirm with your accountant and lawyer.
- **Skipping the training plan.** Negotiate a training and transition period (often 2–4 weeks or more) in the purchase agreement.

## 7. Questions Every Buyer Should Ask

| # | Question |
|---|---|
| | **Financials and operations** |
| 1 | Can you provide 3 years of accountant-prepared financial statements and 3 years of CRA tax returns? |
| 2 | Can you provide 12 months of POS (cash register) reports? Do bank deposits match reported sales? |
| 3 | What are the top reasons customers buy from you instead of a competitor? |
| 4 | How would sales change if you were no longer involved? |
| 5 | Are any key suppliers exclusive, relationship-based or likely to change pricing for a new owner? |
| | **Lease and location** |
| 6 | What are the base rent and additional rent (CAM / operating costs)? |
| 7 | How many years are left on the lease? Are there renewal options, and at what rent? |
| 8 | Has the landlord confirmed they will consent to assign the lease to a new buyer? |
| 9 | Will the landlord require a personal guarantee from the buyer? |
| | **Sale and transition** |
| 10 | Why are you selling? Does the reason match the financial history? |
| 11 | What training and support will you provide after the sale, and for how long? |
| 12 | Are there any CRA audits, disputes, lawsuits or hidden debts? |
| 13 | Is the inventory count current and verified? What exactly is included in the price? |

| | |
|---|---|
| 14 | Will you sign a non-compete agreement for a reasonable time and area? |

## 8. Your Professional Team

| Professional | Role | Why You Need Them |
|---|---|---|
| Commercial REALTOR® | Finds or markets the business, negotiates, coordinates due diligence | Market knowledge, buyer and seller network, negotiation experience |
| Accountant (CPA) | Checks the financials, advises on asset vs. share purchase, GST and tax | Helps you avoid buying a tax problem or overpaying |
| Chartered Business Valuator (CBV) | Formal independent valuation | Needed for some financing, legal disputes or complex deals |
| Business / real estate lawyer | Reviews the lease assignment, drafts the purchase agreement, handles closing | The lease can make or break the value of a business |
| Lender (bank or BDC) | Finances the purchase | Getting pre-qualified before an offer saves time |

**Thinking about selling or buying a business?**
I offer a free, confidential opinion of value for business owners in Calgary and across Alberta and BC. Call or text **(403) 399-8124**, email **CalgaryJason@gmail.com**, or visit **jasonchoirealestate.com**. English and 한국어.

This guide is for general education only. It is not financial, accounting, legal or business valuation advice. Multiplier ranges are general market indicators only; actual values depend on the specific business, its financial records, market conditions and the terms of each deal. Every business purchase or sale should involve a qualified accountant (CPA), a lawyer and, where needed, a Chartered Business Valuator (CBV). Prepared by Jason Choi, REALTOR®, First Place Realty. Information believed accurate but not guaranteed. 2026.